

Court No. - 39

Case :- WRIT - C No. - 41686 of 2014

Petitioner :- M/S Prem Steels (Pvt.) Limited

Respondent :- Paschimanchal Vidyut Vitran Nigam Limited And Another

Counsel for Petitioner :- Bidhan Chandra Rai

Counsel for Respondent :- A.K.Saxena

Hon'ble Krishna Murari,J.

Hon'ble Ashwani Kumar Mishra,J.

1. We have heard Sri Bidhan Chandra Rai, learned counsel for the petitioner and Sri A.K.Saxena, appearing for the respondents-Vidyut Vitran Nigam Limited.

2. Petitioner is an industrial unit engaged in the manufacture of Mild Steel Ingots having an electricity connection with the contracted load of 2500 KVA. He has approached this Court seeking following reliefs:-

“i. issue a writ, order or direction in the nature of certiorari calling for the records and to quash the demand notice dated 09.07.2014 (Annexure No.6) and electricity bill dated 15.07.2014 (Annexure No.7);

ii. issue a writ, order or direction in the nature of mandamus commanding the respondents declaring that the demand notice dated 09.07.2014 and bill dated 15.07.2014 as totally illegal and the respondents be directed to prepare correct bill after adjusting the amount of security money, interest on security, advance payment and interest thereon after adjusting the electricity dues admissible and payable by the petitioner in accordance with law and if any amount is still found payable by the petitioner to inform him by issuing a correct bill accordingly;

iii. issue a writ, order or direction in the nature of mandamus restraining the respondents from recovering sum in question from the petitioner in any manner including coercive process;

iv. issue such other and further writ, order or direction which this Hon'ble Court may deem fit and proper in the circumstances of the case; and

v. award the cost of the writ petition.”

3. It is undisputed fact that the electricity connection of the

petitioner was disconnected on 7.6.2014 on account of non-payment of dues amounting to Rs.1,15,04,385/-. From the pleadings, it transpires that after disconnection, a demand notice dated 9.7.2014 was issued requiring the petitioner to make payment of a sum of Rs.1,07,28,938/- within a period of 30 days, failing which, the same was liable to be recovered as arrears of land revenue.

4. Learned counsel for the petitioner contends that the demand notice is not being disputed and the petitioner is ready and willing to pay the amount but he is entitled for adjustment of a sum of Rs.70,33,800/- lying in deposit with the respondents as security and also a sum of Rs.58,00,775/- deposited by him at the time of filing appeal against the provisional assessment made on 3.8.2011. He further submits that the petitioner is entitled to adjustment of the aforesaid amounts from the outstanding dues, since there is no scope of revival or reconnection of the electricity connection, which already stands disconnected.

5. It may be relevant to point out at this stage that a checking was carried out by the team of the officers of the respondents-Power Corporation Limited on 19.3.2010. The checking team replaced the old meter installed at control panel with a new meter and took away old meter for being tested in the laboratory of UPPCL. The team also carried out inspection at the premises of petitioner and consumption of the meters installed therein. On the basis of inspection carried out, notice dated 30.7.2010 was issued by the Executive Engineer. After considering the objections filed by petitioner, a final assessment order was passed requiring the petitioner to pay a sum of Rs.1,16,01,550/-. The final assessment order was challenged by the petitioner by filing an appeal. As required, 50% of the amount i.e. Rs.58,00,775/- was deposited by the petitioner at the time of filing of the appeal. The appeal filed by the petitioner was allowed by the appellate authority vide order dated 9.4.2013 and the matter was remanded back to the Executive Engineer to decide the matter afresh after opportunity to the petitioner.

6. It is undisputed that the proceedings are still pending and have not yet been finalized. It appears that the said proceedings could not be finalized by the assessing authority as the petitioner approached this Court by filing Writ Petition (C) No. 33912 of 2013 alleging that despite direction issued by the appellate authority, Executive Engineer was not supplying copies of the documents demanded and also denied the request of the petitioner to cross-examine officers, whose reports are being relied upon by the assessing authority. The writ petition was disposed of by Division Bench of this Court vide judgment dated 20th June, 2013 by making following observations:-

“Confronted with the submission, during course of arguments, Sri Nripendra Mishra fairly stated that above directions of Appellate Authority shall be observed and not only the documents shall be made available to petitioners, if not already supplied to them, but also, the officers requested by petitioners for cross-examination, shall be summoned for the said purpose, on the next date fixed.

In view of aforesaid statement, we do not find any reason to proceed further in this matter and dispose of writ petitions in terms of above statement made by learned counsel for respondents no. 2 and 3.”

7. Referring to the provisions of clause 4.38 of the U.P. Electricity Supply Code, 2005, it has been vehemently contended that petitioner is liable for adjustment of the security deposit and also a sum of Rs.58,00,775/- deposited at the time of filing of the appeal.

8. We are afraid that the arguments advanced on behalf of the petitioner are totally misconceived. The electricity connection of the petitioner has been temporarily disconnected on account of non-payment of charges for consumption of electrical energy. The agreement between the parties still subsists and is not terminated and till such time, the agreement is not terminated and a permanent disconnection is made, petitioner as a consumer continues to be bind by the obligations under the contract and there is no reason or occasion for adjustment of the security deposit. The same can only be made after permanent disconnection. Petitioner as consumer also continues to be under a liability for being billed for minimum charges

as per Clause 4.37 of the U.P. Electricity Supply Code, 2005.

9. In so far as claim of adjustment of Rs.58,00,775/- is concerned, the said amount was deposited by the petitioner as a pre-condition for filing an appeal, the proceedings are still pending and yet to be finalized and unless a final decision is taken in the said proceedings, the amount deposited as a pre-condition for filing appeal is not liable to be adjusted towards outstanding arrears. Even otherwise, if said amount is adjusted towards outstanding arrears, the appeal itself become incompetent for want of pre-deposit.

10. As a matter of fact, petitioner without itself applying for permanent disconnection or before expiry of a period of six months, during which period, in case the cause for which the supply was temporarily disconnected is not removed, would entail permanent disconnection, has tried to misrepresent and camouflaged the relief claimed as if it is a case of permanent disconnection whereas the electricity connection of the petitioner was only temporarily disconnected requiring him to pay the outstanding liability. Without the petitioner applying for a permanent disconnection or there being an automatic permanent disconnection after expiry of the period of six months, in case the petitioner fails to remove the cause for which the supply was temporarily disconnected, he is not entitled to adjustment of the amount of security deposit towards outstanding arrears for consumption of electrical energy.

11. In view of the aforesaid facts and discussions, the relief prayed for in the writ petition is misconceived and is not liable to be granted.

12. The writ petition, accordingly, fails and stands dismissed.

Order Date :- 12.8.2014

Anil